

Executive Summary: Employee Attrition Analysis

Objective

The objective of this project was to analyze employee attrition patterns and identify the key factors that influence an employee's decision to leave the organization. By using historical employee data, the analysis helps Human Resources (HR) understand workforce trends and identify employees who may be at a higher risk of attrition. The insights generated from this project can support better workforce planning, improve employee satisfaction, and reduce the costs associated with recruitment and training.

Key Findings

The analysis revealed that the overall employee attrition rate is approximately **16.1%**, indicating that nearly one out of every six employees leaves the company. Employees working in the **Sales department**, particularly those in **Sales Representative** roles, experience the highest attrition rates. Factors such as frequent overtime, extensive business travel, lower job satisfaction, and fewer years of service were found to have a strong influence on employee turnover. Although salary plays a role in employee decisions, the results indicate that workplace conditions, career growth opportunities, and work-life balance are equally important contributors to attrition.

Recommendations

Based on these findings, HR should focus on strengthening employee retention strategies, particularly within departments and job roles experiencing higher turnover. Regular employee engagement programs, career development opportunities, mentoring initiatives, and improved work-life balance policies can help reduce attrition. Monitoring overtime, conducting periodic employee feedback surveys, and providing timely support to employees during their initial years with the organization can further improve employee satisfaction and long-term retention.

Limitations

The model is based on historical employee records and does not include qualitative factors such as leadership style, interpersonal relationships, organizational culture, or external economic conditions. Therefore, the predictions should be used as a decision-support tool rather than the sole basis for HR decisions.

Conclusion

This project demonstrates that employee attrition is influenced by multiple workplace factors rather than a single reason. By identifying employees who are more likely to leave, organizations can implement proactive retention strategies, improve employee engagement, and create a healthier work environment. Applying these insights can help reduce employee turnover, increase workforce stability, and support long-term organizational success.